BREAKWAVE ADVISORS

Tanker Shipping

Bi-Weekly Industry Report

November 4, 2025

- **VLCCs Go from Strength to Strength as Sanctions Drive Strong Sentiment –** VLCC rates continued their **surge into late October**, led by the Arabian Gulf–China and West Africa–China routes. Strength in these two major eastbound benchmarks has spilled over to the broader VLCC segment, with all regions posting gains as charterers secured coverage across basins amid a thinning vessel list. The rally, initially driven by **regulatory and geopolitical developments** in mid-October, gained further momentum as China's port-fee regime on U.S.-linked vessels and the new wave of U.S. sanctions on Russian crude bolstered sentiment and fixing activity. Although both China and the U.S. have since paused their respective port-fee regimes, short-term relief from compliance has not reversed the upward trend. From a trade perspective, sanctions and regulatory volatility may accelerate shifts in Chinese and Indian crude sourcing. Any **sustained decline in Russian imports** in favor of Arabian Gulf or U.S. Gulf barrels **would increase tonne-mile exposure**, supporting VLCC utilization into Q4. The market enters November with some of the strongest momentum seen since early 2022. The key **question** is whether geopolitical volatility and sourcing rebalancing can **sustain this structural upswing** through the winter.

- **OPEC Continues to Add Barrels in what Seems as an Oversupplied Market –** We continue to believe that the oil market balance has shifted toward oversupply, with only Chinese storage builds preventing a sharper decline in prices into the low $50s. **Geopolitical developments affecting Russia's exports** and oil marketing will play a significant role in the coming months; however, barring any substantial disruption to Russian crude flows, it is difficult to view the market as balanced given weak to **steady transportation-fuel demand** from China and modest, sustained demand growth in other regions. Last weekend's decision by OPEC+ to increase production, while modest, just over 100 thousand barrels per day, suggests the **ongoing trend of more oil reaching** the market. With oil in transit at record levels, tankers are benefiting, and prices are likely to continue drifting lower as the futures curve flattens and may shift into contango in the months ahead.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

Short-term Indicators	
Momentum:	**Positive**
Sentiment:	**Positive**
Fundamentals:	**Positive**

Breakwave Tanker Futures Index:	**1785**
30D: 15.7%	↑
YTD: 65.0%	↑
YOY: 48.5%	↑
VLCC Middle East-Asia Spot Rates:	**27.25**
30D: 59.2%	↑
YTD: 203.6%	↑
YOY: 143.6%	↑

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

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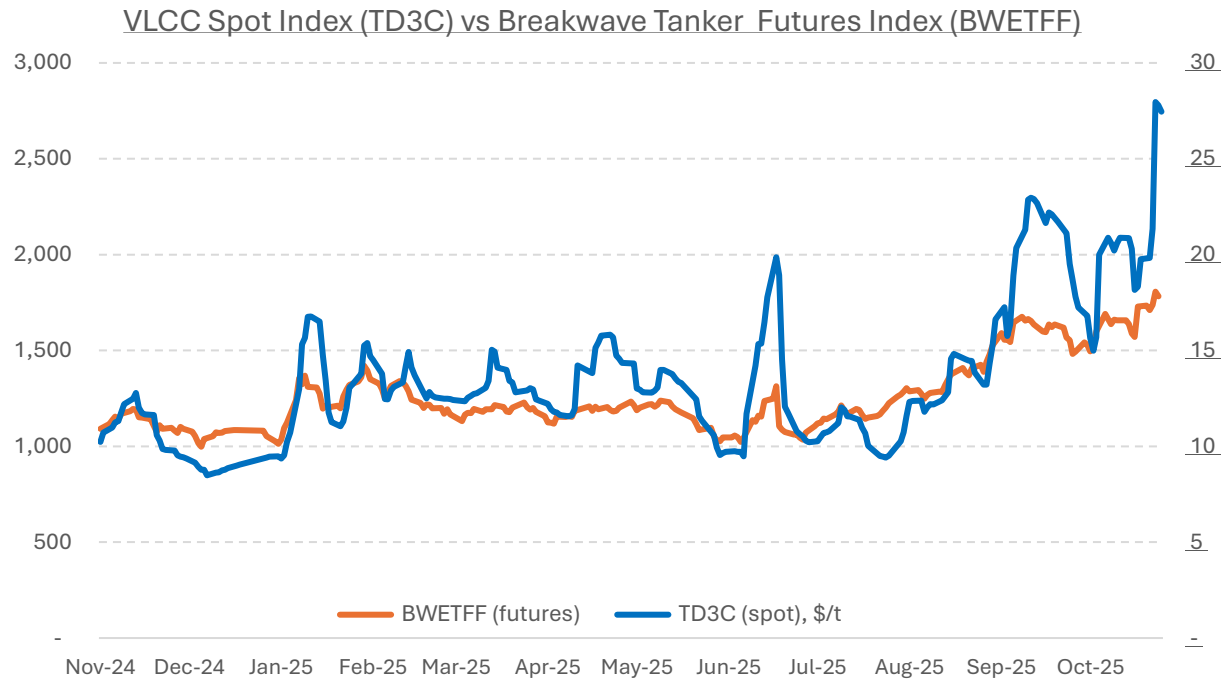

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	105,423 kbpd	1.4%
Oil Supply, OPEC	29,050 kbpd	9.5%
Oil Supply, non-OPEC	73,348 kbpd	1.3%
OECD Total Crude Oil Stocks	1043.3 MMbls	0.5%
US Crude Oil Exports	30.6 MMbls	-8.6%
China Oil Imports	423.8 MMbls	2.7%
Global Crude Oil On Water	1349.1 MMbls	21.5%

Supply		
Tanker Fleet	708.2 mdwt	2.0%

Freight Rates		
VLCC Middle East-Asia, USD/ton	13.27	-7.3%
Suezmax West Africa-Europe, USD/ton	16.85	-14.8%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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